ANSWER KEY & MARKING SCHEME SET 1

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** general insurance	Assets
2	**(a)** Ayushman Bharat PM-JAY	Health cover
3	**(d)** Rs 2,00,000	20k+40k+60k+80k
4	**(d)** longer compounding	Time
5	**(a)** Rs 4,800	28,800 - 24,000
6	**(d)** A is false but R is true.	A false: lock-in
7	**(d)** A is false but R is true.	A false
8	**(d)** A is false but R is true.	A false: only potential
9	**(a)** Both A and R are true and R is the correct explanation of A.	Interest on interest accumulates over more years for an early investor.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true but the second does not explain why insurance is risk sharing.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Tracks limits (1); Avoids overspending (1).	1+1
12	Share losses (1); Cover many policyholders (1).	1+1
13	Habit formation (1); Avoid debt traps (1).	1+1
14	Based on reputation (1); Reduced risk (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Benchmark (1); Market mood (1); Long-term growth (1).	1+1+1
16	Income and savings (1); Decision-making (1); Security (1).	1+1+1
17	Verify advisers (1); Avoid unrealistic returns (1); Use regulated products (1).	1+1+1
	OR: Compounding (1); Regular saving (1); Lower burden later (1).	1+1+1
18	Savings depleted (1); Possible debt (1); Insurance would help (1).	1+1+1
	OR: Fixed rate (1); If inflation higher real return negative (1); Tax on interest (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Rs 40,000 - Rs 32,000 = Rs 8,000 (1). (ii) 8,000/40,000 x 100 = 20% (1). (iii) 24,000/6 = Rs 4,000 per month (1). (iv) A budget is a written plan that balances income and expenses (1); it helps her track spending and set aside savings for goals (1).	1+1+1+2
20	Prices rise (1); Purchasing power falls (1); Invest in assets (1); Review budgets (1); Diversify (1).	1+1+1+1+1
	OR: Awareness (1); Verify sources (1); Budget (1); Insurance (1); Complaint channels (1).	1+1+1+1+1

Mistakes to avoid:

- Simple interest is on the principal only: SI = P x R x T/100. Compound interest is on principal **and** earlier interest, so it is larger over 2 or more years.
- The five pillars are income, budgeting, saving, investing and protection; exports are not one of them.
- GST is an **indirect** tax (on goods and services); income tax is a direct tax. In a progressive system higher incomes pay higher rates.
- An EMI purchase costs **more** than the price: total paid = EMI x number of months (e.g. 12 x 3,000 = 36,000 for a 30,000 fridge).
- Inflation is a rise in prices, which lowers purchasing power; money kept idle in cash loses value over time.
- Higher risk goes with higher possible return and fixed deposits are low-risk; a premium is paid for insurance and a SENSEX is an index of the BSE.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

MASTERMIND

ANSWER KEY & MARKING SCHEME SET 2

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** loss of purchasing power	Inflation
2	**(d)** A is false but R is true.	A false, R true
3	**(a)** Both A and R are true and R is the correct explanation of A.	Cost of credit
4	**(a)** loan to issuer	Debt
5	**(d)** review and stay informed	Long-term view
6	**(a)** Rs 3,00,000	2L + 25% of 4L
7	**(a)** shares	Equity
8	**(b)** Rs 96,800	80,000 x 1.1 x 1.1
9	**(c)** A is true but R is false.	10,000 x 1.1 x 1.1 = 12,100 so A is true; compound interest is on principal and earlier interest, so R is false.
10	**(d)** A is false but R is true.	Indirect taxes are paid on goods and services, not directly on income, so A is false; R is true.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Often carry high risk (1); Frauds promise unrealistic returns (1).	1+1
12	Depletes savings (1); Insurance cushions (1).	1+1
13	Sukanya Samriddhi for girls (1); Safe and long-term (1).	1+1
14	Real value falls (1); Costs rise (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Compounding interest (1); New loans to repay old (1); Stress (1).	1+1+1
16	Pay legal tax (1); Avoid fraud (1); Support public goods (1).	1+1+1
17	Time horizon (1); Income stability (1); Needs (1).	1+1+1
	OR: 1,20,000/48 (1); Rs 2,500 (1); Interest could reduce it (1).	1+1+1
18	Habit (1); Compounding (1); Emergency use (1).	1+1+1
	OR: PPF, NSC, SSY (1); Tax benefits (1); Safety (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) 10,000 x 8 x 3/100 = Rs 2,400 (1). (ii) 10,000 x 1.1 x 1.1 = Rs 12,100 (1). (iii) 12 x 3,000 = Rs 36,000 (1). (iv) Rs 6,000 extra, because interest is added to the loan amount in the EMIs (2).	1+1+1+2
20	Compounding (1); Bhavisha and Dhruv (1); Habit (1); Risk learning (1); Flexibility (1).	1+1+1+1+1
	OR: 20,000 + 40,000 + 60,000 = 1,20,000 (1); Next 2 lakh at 20% = 40,000 (1); Total 1,60,000 (1); Effective rate 8.9% (1); Progressive (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Taxes fund public goods	Public finance
2	**(a)** Both A and R are true and R is the correct explanation of A.	Equity
3	**(a)** Both A and R are true and R is the correct explanation of A.	Time value
4	**(c)** Standard deduction	Allowed relief
5	**(d)** Rs 60,000	20k+40k
6	**(d)** PM-JAY - health insurance	Match
7	**(d)** revise budget and cut costs	Balance
8	**(d)** A is false but R is true.	A false
9	**(a)** Both A and R are true and R is the correct explanation of A.	With rising prices the same money buys less.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true but GST is not an example of progressive taxation.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Funds public services (1); Legal duty (1).	1+1
12	Decide total cost (1); Affect EMIs (1).	1+1
13	Different coverage and cost (1); Choose best value (1).	1+1
14	Spreads risk (1); Smooths returns (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	78,750 versus 1,20,000 (1); Difference 41,250 (1); Progressive (1).	1+1+1
16	Expenses 37,000 (1); Savings 13,000 (1); Rate 26% (1).	1+1+1
17	Emergencies (1); Avoid distress sale (1); Peace of mind (1).	1+1+1
	OR: 40,000 x 1.331 (1); Rs 53,240 (1); Interest Rs 13,240 (1).	1+1+1
18	EMI adds interest (1); Saving avoids interest (1); Delay of purchase (1).	1+1+1
	OR: House (1); Education (1); Health (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Health insurance for eligible households (1). (ii) Part-ownership of a company (1). (iii) 30 large companies (1). (iv) Diversification spreads risk across assets (1); a fixed deposit gives an assured return with low risk, whereas shares carry higher risk but can give higher returns (1).	1+1+1+2
20	Monthly goal ignoring interest = 16,667 (1); Budget cut (1); FD or recurring deposit (1); Avoid high risk (1); Insurance for protection (1).	1+1+1+1+1
	OR: Student higher risk (1); Retiree lower (1); Time horizon (1); Liquidity (1); Goals (1).	1+1+1+1+1

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